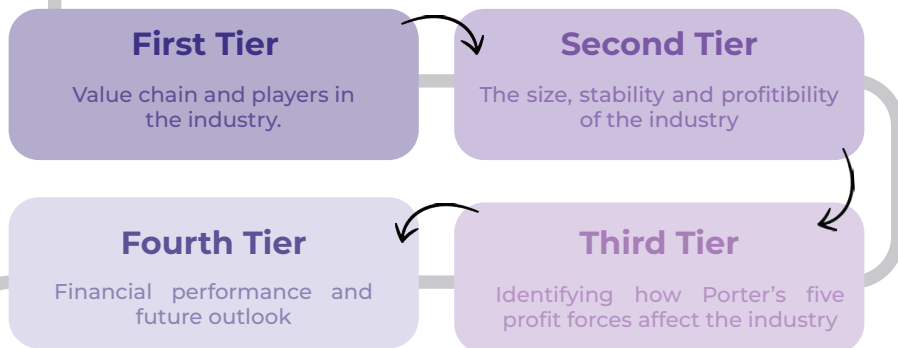




This stage comprises a four-tiered analysis structure.

- The **first tier** gives
 - an understanding of the activities done in the industry,
 - the participants of the industry and other industries with which the given industry transacts,
 - the profit pool within the sector,
 - the major risks,
 - the demand-supply scenario.

This stage explains the value chain and participants in the industry.

- The **second tier** gets deeper into **the composition of the industry and the size, stability and profitability of the industry**.
 - Here the total market size is identified along with the composition of the organized and unorganized market.
 - How the market has evolved is also understood.
 - The industry stability is studied based on the gaining and losing of market share by the top players.
 - The pricing power of various industry participants is also analyzed.
 - Attention is given to the competitive life-cycle positioning of the products and the risk of disruptions.
 - Government regulations for the industry, recent news related to the industry, and ongoing trends in the industry are also identified in the second tier.
- The **third tier** focuses on **identifying how Porter's five forces affect the industry** and provide a list of questions that can help judge the strength of influence of each force. There is also an emphasis on identifying any changes in the forces and the industry structure going forward.
- The **fourth tier** is much more quantitative. It focuses on profitability, asset intensiveness, and use of debt by the top companies of the industry. At times, this step is affected by company-specific decisions. But, by taking into consideration a large number of companies, we can get a good understanding of industry's attractions.